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From the editor-in-chief

osing a job is traumatic, especially in India where there is no social security net. For a poor country like ours, the consequences of an economic downturn are tragic as many already live on the margin. In the last four years, India grew at a super-charged average of 8.8 per cent GDP growth. As luck would have it, the ghost of inflation triggered by high oil and commodity prices started haunting the economy. In election mode, the Government controlled inflation in its usual ham-handed way by raising interest rates, hurting consumption and growth. The creeping domestic slowdown was followed by a global meltdown. The double whammy has hit hard with forecasters pegging GDP growth at 6.3 per cent, down from 9.4 per cent last year. The first casualty has been investments followed by consumption, output and incomes.

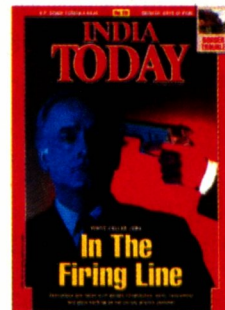
Job losses were in a sense inevitable. The crisis exposes fundamental flaws in the Indian economy; essentially that it is shallow in nature. The shallowest of them all proved to be the great Indian stock market boom. It collapsed with the exit of a mere \$15 billion of foreign hot money which sent the market into a downward spiral, creating a huge crisis of confidence. One of the basic principles of a growing economy is that it creates new consumers. Unfortunately, despite four years of growth, there are not enough people with incomes to sustain high growth. Moreover, the Government didn't use the good times to push investments in infrastructure that would have added jobs to sustain growth. It is almost as if the current crisis is a story foretold.

Our cover story this week looks at the jobs being shredded and what the outlook is for 2009. The INDIA TODAY-Ma Foi Job Survey is the first to show the sectors where job losses have taken place and are likely to in the near future. On record, industry representatives are guarded about job losses. The political drama over the sacking of Jet Airways employees deterred other companies with similar plans. A bigger deterrent was the warning issued by the prime minister when he met captains of Indian industry, to refrain from job cuts. The Government, with its 'dream team' of economists, has been in denial. When industry body Assocham announced that companies would lay off about 25-30 per cent of the workforce, the Government got the association to retract.

This is INDIA TODAY's fifth cover story on jobs. Only one, in 1997, was about cutting jobs; the rest were about boom times. The survey suggests that bad times are here again like in 1997. The Government, with bold policies, clear thinking and not pandering to votebanks, can get us out of this financial mess. However, it continues to flap in the wind, mistaking sound and fury for action while people are losing their livelihood.

Aroon Purie

(Aroon Purie)



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